Q&A

'Use add-ons for greater protection'

Owners are possessive about their vehicles. Add-on covers can provide them financial cushion, explains T.A. Ramalingam, Chief Technical Officer, Bajaj Allianz General Insurance



Q. COULD YOU TAKE US THROUGH THE GENESIS OF ADD-ON COVERS IN CASE OF MOTOR INSURANCE?

Motor insurance falls under the purview of the TAC (tariff advisory committee), which defines the standard scope for motor insurance cover. We cannot change the wording and have to offer and follow insurance cover as per the TAC. However, consumer needs are constantly changing and vehicle owners have shown interest in covers beyond the standard own damage policy that is available. Sensing an opportunity based on this demand, we and other insurers started to offer add-on motor insurance cover.

Q. THERE ARE SEVERAL ADD-ON POLICIES. WHICH ONES ARE THE MOST SOUGHT-AFTER?

The zero depreciation add-on is the most popular and sought-after. Generally, a vehicle owner pays for the depreciation and replacement of new spare parts when raising an accident claim. This add-on is structured to do away with this financial impact by covering this expenditure. The next most sought-after is the add-on consumable cover. It addresses the expenses that an insured person has to bear towards consumables, like oil, nuts and bolts, which need replacement after an accident repair.

Q. WHAT ABOUT ROADSIDE ASSISTANCE AND ENGINE PROTECTION?

Yes, these are also important and popular. We provide free roadside assistance cover to all women owners. We feel that even replacing a punctured tyre may be difficult for them. The cover itself isn't that expensive and male drivers could also benefit from it. As for engine protection, it has got popular ever since episodes of sudden floods and waterlogging have gone up. The moment water gets into the engine, the repairs are very expensive, running into lakhs. This cover comes in handy.

OVER THE PAST DECADE, INSURERS HAVE EXPANDED THE NUMBER OF ADD-ON COVERS BASED ON FEEDBACK AND MARKET INTELLIGENCE

Q. HOW ARE THE ADD-ONS PRICED? ARE THEY AFFORDABLE?

Add-on pricing varies across insurers and is based on our claims experience and actuarial inputs. We price it competitively and some of them depend on the type of vehicle. They are definitely affordable compared to the cost one would otherwise incur if faced with the occurrence of the add-on risk.

Q. HOW SHOULD ONE CHOOSE AN ADD-ON?

There is no standard format. But, I would recommend zero depreciation as a must-have add-on followed by the consumable cover. Roadside assistance, key protection and engine protection, etc. would depend on your circumstances such as the place you stay in, the kind of risks that are prevalent there and so on.

ship where you are buying the vehicle to choose the ones that may suit you."

The world of add-ons could be overwhelming. A caveat is therefore in order. Add-ons do not come free; there is a cost associated with each of them. It may seem affordable, but needs to be evaluated, especially on what it does and how it could be useful for you (see *Choosing an Add-on*). "I realise that some of the add-ons are not necessary, but I do plan to take the zero depreciation and a few others," says Tripathi.

However, in the absence of a standard add-on nomenclature or costs, it may not be easy to choose an add-on based just on costs. Choose an insurer and add-ons based on the claims experience that the company provides and the ease of claims processing and payments thereof.

It may seem a lot to choose an insurer and add-on when buying a vehicle, but remember that the exercise of choosing a vehicle is also not simple. Just the way vehicle-buying is a lot more than its price, add-on insurance too requires some effort on the part of the buyer. ■